

# INTERNATIONAL RELATIONS



INDIA-BHUTAN - 2

MODULE - 21

## INDIA - BHUTAN RELATIONS

- In spite of the impeccable relationship between India and Bhutan, several issues disturb the relationship :

1. Disappointments with India
2. India's economic policies
3. Bhutan's internal security
4. China factor
5. Multilateral Cooperation
6. Cultural relations



### DEPENDENCY ON INDIA

- Being a landlocked, mountainous country, Bhutan is dependent upon India for the following.

- 1 Bhutan's trade routes and access to the sea, pass through India and it is thus largely dependent on the latter for its economic security.
- 2 In the area of hydroelectricity, with increased interest rates and falling profits in sale of electricity, Bhutan's debts are increasing.



### DISSAPOINTMENTS WITH INDIA

- 1 The hydroelectric projects have failed to generate the expected rate of employment in Bhutan and have further affected the environment in Bhutan.
- 2 Bhutan wants to increase its export power tariff to India as that is complained for being lesser than its cost of production
- 3 Hydropower is central to Bhutan's GDP. Bhutan has been unhappy with India's terms for financing its hydropower projects.

- 4 There is still looming dominance from India when it comes to its own external affairs.



### INDIA'S ECONOMIC POLICIES

- 1 Until India liberalized its economy, Bhutan enjoyed protected status in its trade relations with India.
- 2 With the opening of Indian economy in 1990, Bhutanese industries found it challenging to compete in Indian markets
- 3 There was a gradual phasing out of subsidies and a decrease in its budget for assistance to Bhutan.
- 4 Bhutan got affected because India privatizing its power, petroleum and other traditional public sectors.
- 5 Moreover, India's subsidized imports to Bhutan is affecting Bhutan's domestic markets. 60% of Bhutan's expenditure is on imports from India



### INDIA'S ECONOMIC POLICIES

- 6 Incidents like India's decision to withdraw its subsidies in cooking oil and kerosene in 2013 was seen as an attempt to affect Bhutan's election.
- 7 Bhutan earns the Indian rupee in four ways:
  1. Development grants from the government of India,
  2. Earning from exports of electricity,
  3. Exports of other merchandise, and
  4. Credit (loans).
- 8 These four factors determine the size of the rupee inflow from India. The outflow of the rupee depends on imports, debt service payment, remittances of Indian workers, expenditure on education, healthcare, pilgrimages and tourism while in India.



### INDIA'S ECONOMIC POLICIES

**9** In recent times, the rupee outflow is outnumbering the rupee reserve. This imbalance was further affected because of India's demonetisation and GST.

**10** Instead of offering economic subsidies and negotiating project proposals, India should provide enabling agreements and let market forces leverage the economic and geographic complementarities.



### SECURITY CONCERNS

- 1** The borders between Bhutan and India are porous and with comfortable movement of people. The demographic pressure on the Indian side, in Assam and Bengal, is owed to this porous border.
- 2** Bhutan is greener and emptier, and full of natural resources. Indians living close to the border often move north into Bhutan.
- 3** Militant outfits like the United Liberation Front of Assam (ULFA), National Democratic Front of Bodos (NDFB) and the Kamtapuri Liberation Organization (KLO) have illegally set up as a base and hideout while rebelling against the Indian government in the dense jungles of south-east Bhutan. Their military operations pose security threat for Bhutan.



### SECURITY CONCERNS

- 4 It has hampered businesses and the implementation of development activities in many parts of the country. It has affected the friendly relations enjoyed by Bhutan and India.
- 5 The Bhutanese government repeatedly urged the militants to leave the country peacefully because they were Indian citizens. But in spite of Bhutan's efforts, the militants had no intention of leaving Bhutan until their own objectives had been fulfilled.
- 6 The Bhutanese army took military action to flush out the insurgents on 15th December 2003.
- 7 This operation provided assurance of Bhutan's capability to safeguard its own security and it was a step towards the maintenance of strong Indo-Bhutan ties.



### INDIA-BHUTAN AND CHINA

- 1 The Indian Army maintains a mission in Bhutan. The Indian Military Training Team is responsible for training the Royal Bhutan Army and the Royal Bodyguard of Bhutan.
- 2 China is disturbed with the presence of Indian troops inside Bhutan and on the Bhutan-China border.
- 3 Fearing China, Bhutan has delayed India's proposal to build a road from Lumla in the Tawang district in India to Trashigang in eastern Bhutan.
- 4 This road is of strategic importance to India as it provides an alternative route, to the Indian defence forces, to reach Tawang from Assam through Bhutan.
- 5 In the absence of an alternative route, the Indian defence forces manning the India-China border are using the Sela Pass that is snow-clad in the winter season, making transit through it difficult.



### INDIA-BHUTAN AND CHINA

6 There has been a growing perception in Bhutan that India is taking Bhutan for granted and violating the 1949 treaty based on trust and friendship. Therefore, Bhutan has been drifting from India towards China.

7 Bhutan is also willing to have a deeper diplomatic relationship with China in the areas of tourism, education, culture, agriculture etc.

8 China continues to stake claims in important areas like Chumbi Valley and Doklam, further affecting Indo-Bhutan ties. In 1998, Bhutan and China signed an Agreement on Maintenance of Peace and Tranquillity in the Bhutan-China Border Areas.

9 The ongoing India-China border dispute at Galwan Valley has impacted the geopolitics of the Indian subcontinent.



### INDIA-BHUTAN AND CHINA

**10** On the recent China's claims on the Sakteng Wildlife Sanctuary, Bhutan stated that the territorial dispute between Bhutan and China were limited only to 269 sq km in the western sector and 495 sq km in the north-central sector of the boundary; and eastern region was never a part of the boundary negotiation.

**11** Even as current geo-political and geo-economic realities ensure that India will continue to be one of the most critical factors in Bhutan's foreign relations, Bhutan has to consider the growing clout of its northern neighbour, China.

It would be challenging for Bhutan to maintain friendly relations with China without undermining its own relations with India.



## MULTI-LATERAL COOPERATION

### BBIN CORRIDOR

- 1 The Motor Vehicles Agreement that was signed in 2015 involving Bangladesh, Bhutan, India and Nepal (BBIN) was blocked by Bhutan's upper house citing environmental concerns.
- 2 It is a issue for India as Bhutan plays a very significant role for India.
- 3 There are speculations that Bhutan's internal politics and doubtful nature towards India's initiatives could be the main reasons.
- 4 The BBIN corridor would be beneficial for both the countries in many aspects so therefore India needs to persuade Bhutan by eliminating their doubts.

- 5 BBIN MVA would play a significant role in India's growing position in Asia.



### CULTURAL RELATIONS

- 1 Bhutanese have assimilated Hindi and Indian products into their lifestyle and their culture.
- 2 Bollywood movies became extremely popular until the early 1990s and have affected attitudes and behavior of Bhutanese youth
- 3 Bhutan offers employment which is attractive for workers, especially from the neighboring districts of Assam and north Bengal.

- 4 As many as 60,000 Indian workers in Bhutan working mostly in the construction and hydro-power sectors, and in other industrial installation projects.



## STEPS TO IMPORVE RELATIONS

- 1 India is likely to approve Bhutan's request for a new land custom station and also considering opening another integrated check post (ICP).
- 2 India is expected to work on India-Bhutan Agreement on Trade, Commerce and Transit, 2016 that allows for free trade and commerce between India and Bhutan. This agreement provides for about 21 entry or exit trade points between India and landlocked Bhutan.
- 3 China has claimed the Sakteng Wildlife Sanctuary, which is located in east of Bhutan and is close to the border with Arunachal Pradesh. These claims by China makes it important for India to strengthen Indo-Bhutan relations



## STEPS TO IMPROVE RELATIONS

- 4 China is pressurizing Bhutan to settle the Sino-Bhutan border dispute. It should encourage India to expedite its efforts to develop railway connectivity with Bhutan
- 5 India had also recently approved Bhutan's request to open Ahlay, Pasakha, the additional trade router under the Jaigaon LCS temporarily in the pandemic.
- 6 The annual trade between India and Bhutan is worth Rs 6000 crore at the Jaigaon-Phuentsholing border.
- 7 India can work towards making Bhutan economically competitive and self-reliant in the national security to gain the trust of the Bhutanese population, upholding their aspirations and interest



## CONCLUSION

- 1 India and Bhutan share a strong and mutually beneficial relationship since Bhutan's independence.
- 2 Bhutan was the first foreign state visit by the Indian PM Narendra Modi after his election in 2014. The 'Neighbourhood First' initiative which shaped recent Indian foreign relations was started with this Bhutan visit.
- 3 The visit of the Bhutanese King in 2017 was especially important as it came after India's bitter military stand-off with Chinese forces that took place in the Doklam plateau region in Bhutan
- 4 Bhutan is India's closest neighbour at this point when India is challenged in its neighborhood, it should work on keeping its friends close.
- 5 India must focus on the principles of Gajral doctrine to strengthen its relations



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